Chapter Review

Chapter Summary/Learning Objectives

7-1 Understand the determinants of foreign exchange rates.

- A foreign exchange rate is the price of one currency expressed in another.
- Basic determinants of foreign exchange rates include:

  (1) relative price differences and PPP,

  (2) interest rates,

  (3) productivity and balance of payments,

  (4) exchange rate policies, and

  (5) investor psychology.

7-2 Track the evolution of the international monetary system.

- The international monetary system evolved from the gold standard (1870–1914), to the Bretton Woods system (1944-73), and eventually to the current post-Bretton Woods system (1973–present).
- The IMF serves as a lender of last resort to help member countries fight balance-of-payments problems.
- In response to the criticisms, the IMF has initiated major reforms recently.

7-3 Identify firms' strategic responses to deal with foreign exchange movements.

- Three foreign exchange transactions are:

  (1) spot transactions,

  (2) forward transactions, and

  (3) swaps.

- Firms’ strategic responses include:

  (1) invoicing in their own currencies,

  (2) currency hedging, and

  (3) strategic hedging.

7-4 Participate in three leading debates concerning foreign exchange movements.

(1) Fixed versus floating exchange rates,

(2) a strong dollar versus a weak dollar, and

(3) hedging versus not hedging.

7-5 Draw implications for action.

- Fostering foreign exchange literacy is a must.
- Risk analysis of any country must include an analysis of its currency risks.
- A currency risk management strategy is necessary—via currency hedging, strategic hedging, or both.